

Green Framework Alignment Opinion

ILAP's Proposed Green Financing Framework

June 03, 2021

Green Financing Framework Overview

Inversiones Latin America Power Limitada's (ILAP) proposed green financing framework is aligned with the four components of the Green Bond Principles 2018 (GBP) and Green Loan Principles 2021 (GLP). ILAP, a pure-play renewable energy entity, operates the San Juan and Totoral wind farms and the related transmission infrastructure in Chile. It is a fully owned subsidiary of Latin America Power Holding B.V. (LAP), a renewable energy generation group, created in 2011, that builds and operates hydro and wind power projects in Chile and Peru. ILAP is committed to expanding wind energy generation in Chile, contributing to the government's explicit commitment to achieve 20% of electricity from renewable sources by 2025 and above 70% by 2050. The high-level objective of ILAP's green financing framework is to allow its investors to contribute to Chile's transition to a lower-carbon economy.

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Framework Alignment Overview



1. Use of proceeds

ILAP's green financing framework is aligned with this component of the GBP and GLP because it commits to using the net proceeds of green bonds and/or loans issued under its framework to finance or refinance eligible wind energy generation and the related transmission infrastructure projects, which fits into the renewable energy category as defined in the principles.



2. Process for project evaluation and selection

ILAP's green financing framework is aligned with this component of the GBP and GLP because it outlines how its Green Finance working group will approve and oversee the pool of eligible projects. The working group will be responsible for selecting projects that meet the defined eligibility criteria, including periodically revisiting whether projects continue to meet the criteria.



3. Management of proceeds

ILAP's green financing framework is aligned with this component of the GBP and GLP because the framework states that the allocation of proceeds to eligible green projects will be tracked under its project register, which ILAP's working group will review semi-annually.



4. Reporting

ILAP's green financing framework is aligned with this component of the GBP and GLP because it commits to report annually on the funds allocated to the pool of eligible green projects and on the environmental impact of the financed projects. ILAP will publish its annual allocation and impact report on the corporate website of its parent company, LAP.

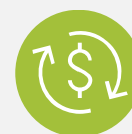
Issuer Sustainability Objectives

ILAP is dedicated to the development of wind power generation in Chile. Although the company is currently developing its sustainability reporting and strategy to identify the environmental footprint of its own operations, it commits to developing new projects based on this Green Financing framework to contribute to decarbonizing the country's energy mix. Currently, through San Juan and Totoral wind farms, its renewable energy generation capacity totals 239 megawatts (MW). Such operations, apart from adhering to Chile's environmental standards, have ISO 45001:2018, 9001:2015 and 14001:2015 certifications for their health and safety, quality, and environmental management systems, respectively. In addition to this, ILAP is also highly focused on engaging with local communities in San Juan and Totoral, directly applying its social investments through its "Fondos de Inversión Comunitaria". ILAP commits to maintaining the same approach for new projects funded under this framework.

Framework Description

1. Use of proceeds

The GBP and GLP stipulate(s) that a seeker of finance should commit the net proceeds of an issuance exclusively to eligible green projects. According to the GBP and GLP, eligible projects will seek to achieve at least one of five environmental objectives, including: 1) climate change mitigation, 2) climate change adaptation, 3) natural resource conservation, 4) biodiversity conservation, and 5) pollution prevention and control.



ILAP commits to use the net proceeds of any green bond and/or loan issued under the framework to exclusively finance or refinance wind energy generation projects and transmission infrastructure dedicated to support wind generation facilities, contributing to the GBP and GLP objectives of climate change mitigation. Use of proceeds will involve the acquisition, development, construction, operation, maintenance, and upgrades of wind energy assets. Renewable energy is one of the project categories identified in the GBP and GLP. Therefore, we regard the framework as aligned with the use of proceeds component of both the GBP and GLP.

2. Process for project evaluation and selection

To align with the second component of the GBP and GLP, a seeker of finance must explain the process by which eligible projects are selected, the related eligibility criteria applied to select those projects, including exclusionary criteria, if applicable, and the overall sustainability objectives that underpin the selection process.



ILAP's green financing framework includes a description of its process to approve and oversee eligible projects. ILAP's Green Finance working group will be composed of members from its senior management, operational front (members responsible for construction oversight, operations, and maintenance), investor relations and sustainability team and executives representing its parent company's shareholders. It will select wind power projects to be financed or refinanced by its green financing instruments. It will maintain a register to monitor eligible projects and the outstanding amounts of the green bonds and/or loans.

The framework states that the working group will conduct semi-annual reviews of the project register, to ensure that projects continue to be aligned to the framework's eligibility criteria of a minimum of 85% of electricity generated from wind energy resources and up to 15% of electricity generated by other sources of renewable power generation. The working group will be responsible for substituting projects that no longer fit the defined criteria.

The working group will also ensure that environmental and social risk assessments for selected projects are conducted and that they align to company policies and procedures (including complying with local laws and environmental regulation). It will

also supervise, review, and approve the annual allocation and environmental impact reporting. In our view, this demonstrates ILAP's alignment with the second component of the GBP and GLP.

3. Management of proceeds

The GBP and GLP requires a seeker of finance to monitor the net proceeds of all outstanding green financing transactions, which includes appropriately tracking the proceeds and adjusting the balance of net proceeds to match allocations to eligible green projects. The GBP and GLP also require a seeker of finance to disclose to investors the intended types of temporary placement they intend to use for unallocated proceeds.



ILAP's green financing framework outlines its plan to allocate all proceeds from green financing instruments issued under the framework to finance or refinance eligible projects.

The framework states that ILAP will maintain a project register to track the use of all proceeds from green financing instruments issued under the framework. ILAP intends to allocate all funds to eligible projects within 60 months of the green bond and/or loan issuance's date, although it states that due to the timing of transactions (financings and asset sales/purchases), net proceeds may temporarily exceed the amount needed to fund the eligible project. Unallocated proceeds will be held in line with ILAP's cash management policies until fully disbursed. Therefore, we regard the framework as aligned with the management of proceeds component of both the GBP and GLP.

4. Reporting

The GBP and GLP stipulate that a seeker of finance should report on the use of proceeds annually until full allocation. Information presented in the annual report must include a list of the projects that receive financing, a description of each project, including the amount allocated to each project, and their expected environmental impact.



ILAP has committed to publishing a report that will confirm the allocation of proceeds to eligible projects and include their environmental impact. ILAP will annually report this information until the net proceeds of the green financing instruments are fully allocated. In the report, ILAP commits to include the total aggregated value of the outstanding green financing instruments, a description of the list of eligible projects financed, and case studies for selected projects. In the case of a change to the eligible projects, ILAP will publish a notification on its website immediately. The annual report will also cover qualitative and quantitative indicators of the projects financed under the framework. The quantitative impact indicators the company commits to include, when available, for each project are:

- Total capacity of renewable energy production (MW)
- Annual renewable energy generation in megawatt-hours (MWh)
- Avoided greenhouse gas emissions (GHG) in tons of carbon dioxide equivalent (tCO₂e) due to the inclusion of such wind energy projects on Chile's energy grid.

Additional Features Of The Framework

This section of the report provides additional information on whether the framework incorporates recommended aspects of the GBP and GLP and goes beyond minimum requirements. This section does not impact on our alignment opinion with the stated principles.

ILAP's green financing framework follows the voluntary guidelines provided by the GBP and GLP. In some cases, the framework goes beyond the requirements of the GBP and GLP, while in others it only abides by standard requirements. The key strengths of the framework are:

- The framework requires all proceeds to be allocated to eligible projects that fall within the renewable energy category. The framework also describes how such projects are aligned with the U.N. Sustainable Development Goals (SDGs).
- The framework sets a minimum level for its wind power projects to be eligible for financing. It defines that projects will only be eligible if they maintain "a minimum of 85% of electricity generated from wind energy resources and up to 15% of electricity generated by other sources of renewable power generation."
- ILAP commits to include core performance indicators for each project being financed in its annual report. Although subject to data availability, ILAP commits to evaluate the positive environmental impact achieved by each of its projects, namely the avoided greenhouse gas emissions (tCO₂e) resulting from renewable energy distributed through the country's power grid. The annual report, and thus the impact indicators, will be made publicly available for investors.
- The framework states ILAP's commitment to ensure that all its projects comply with environmental regulations (throughout the full life cycle of projects, thus including pre-construction approvals).

Offsetting the above strengths are the following:

- ILAP's impact reporting practices do not refer to international guidelines for environmental impact measurement, such as the 'Harmonized Framework for Impact Reporting,' as recommended by the International Capital Market Association (ICMA).
- The framework does not commit to obtain independent third-party verification of its environmental impact data nor on the allocation of proceeds. It also does not commit to disclose the GHG accounting methodology used to calculate the avoided emissions of its projects or the proportional allocation of funds to financing and refinancing projects.

Conclusion

Based on our assessment of the contents of ILAP's green financing framework, we regard this framework as being aligned with the four components of the GLP and GBP given that the seeker of finance has committed to:

- Allocate the full amount of the net proceeds of financing to eligible green projects, as defined by the seeker of finance;
- Use clear 'green' criteria (as defined by the seeker of finance) to select projects for funding;
- Manage and track proceeds; and
- Commit to regular reporting of the environmental impact and use of proceeds.

Mapping To The UN Sustainable Development Goals

The Sustainable Development Goals (SDGs) were set up by the United Nations in 2015 and form an agenda for achieving sustainable development by the year 2030. We use the International Capital Market Association (ICMA) SDG mapping for this part of the report. We acknowledge that the ICMA mapping does not provide an exhaustive list of SDGs and that ICMA recommends each project category be reviewed individually to map it to the relevant SDGs.

ILAP's green finance framework intends to contribute to the following SDGs:

Use of proceeds	SDGs						
Renewable Energy							
	*3. Good health and well-being	*7. Affordable and clean energy	*8. Decent work and economic growth	*9. Industry, innovation and infrastructure	*11. Sustainable cities and communities	*12. Responsible consumption and production	13. Climate action

*The eligible project categories link to these SDGs in the ICMA mapping.

Green Framework Alignment Opinion

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